MARKETBEAT

DALLAS/FORT WORTH

OFFICE Q1 2026

MARKET FUNDAMENTALS

	YOY Chg	Outlook
24.5% Vacancy Rate	▼	▼
117K YTD Net Absorption, SF	▲	▲
$34.04 Asking Rent, PSF	▲	▲

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
4.3M Dallas/Fort Worth Employment*	▲	▲
4.0% Dallas/Fort Worth Unemployment Rate*	—	▼
4.3% Country Unemployment Rate	▲	▲

Source: BLS, Moody's Analytics
**Q4 2025*

ECONOMY

Metro-level employment data for Q1 2026 was delayed by the government shutdown in November 2025. As of Q4 2025, Dallas/Fort Worth (DFW) employment grew slightly at a pace of 0.4% year-over-year (YOY) to reach 4.3 million. Population growth continued at 110,040 new residents over the last 12 months, increasing 1.2% YOY.

Texas manufacturing and service firms indicated slowing growth in March in Dallas Fed surveys, with many noting an increase in uncertainty due to geopolitical events and potential supply chain disruptions. Nevertheless, firms in both sectors continued to expect growth in employment and capital expenditures over the next six months, indicating generally favorable conditions for commercial real estate.

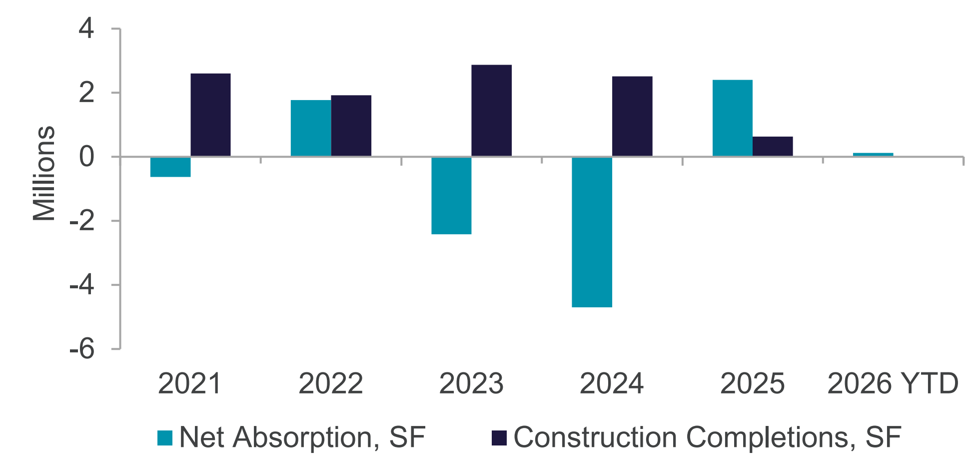
DEMAND

Leasing activity totaled 3.3 million square feet (msf) in the first quarter, a 17.9% increase quarter-over-quarter (QOQ). Leasing remained active across all size segments, with multi-floor leases—30,000 square feet (sf) and larger—exceeding 948,000 sf. Professional and business services lead new leasing at 465,900 sf, followed by financial activities at 334,100 sf and other services at 181,700 sf.

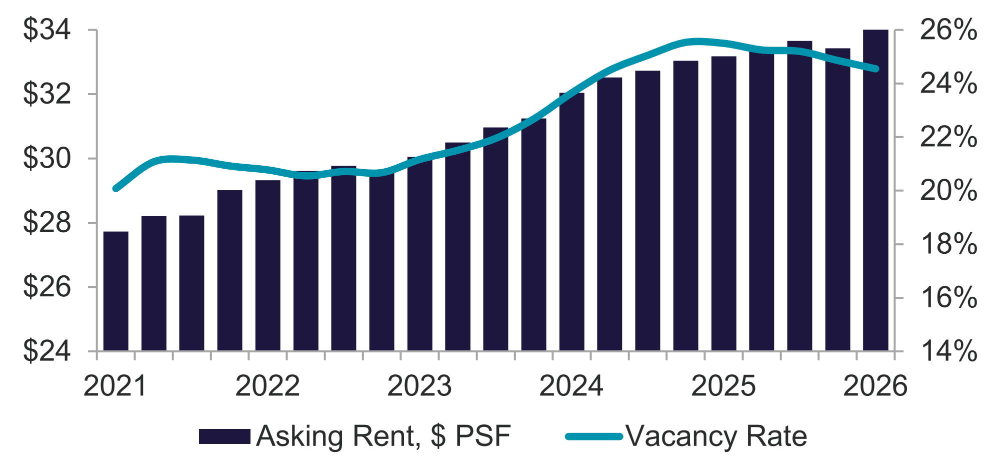
Net absorption remained positive for the fifth consecutive quarter at 116,870 sf. Class A outperformed at positive 339,931 sf while Class B lagged at negative 218,816 sf. Top submarkets for quarterly net absorption included Legacy/Frisco (313,171 sf) and Uptown/Turtle Creek (241,694 sf) as users occupied recently-delivered vacancies. Net absorption will likely continue its positive streak, as the DFW market entered the second quarter with almost 2.0 msf of net absorption teed up for the remainder of 2026 between known move-ins and move-outs.

Building purchases by Lennox and the City of Irving also reduced vacant square footage by another 482,548 sf QOQ, although these transactions were not counted in net absorption.

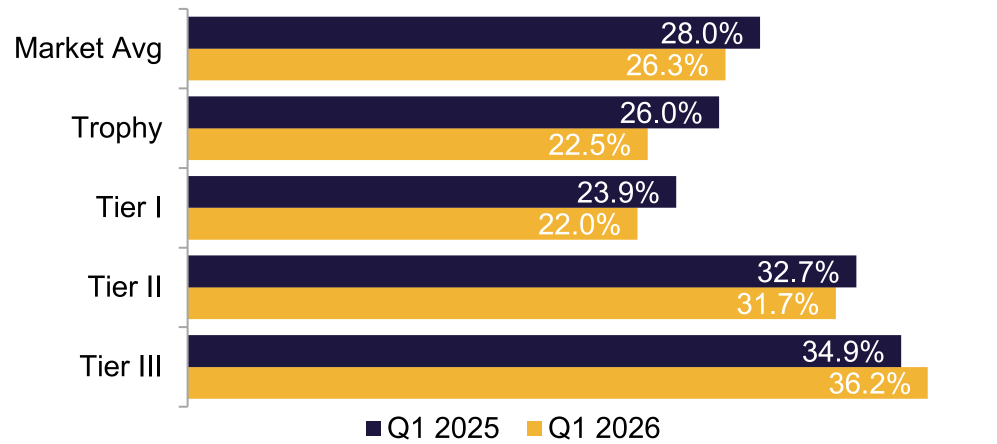
SPACE DEMAND / DELIVERIES



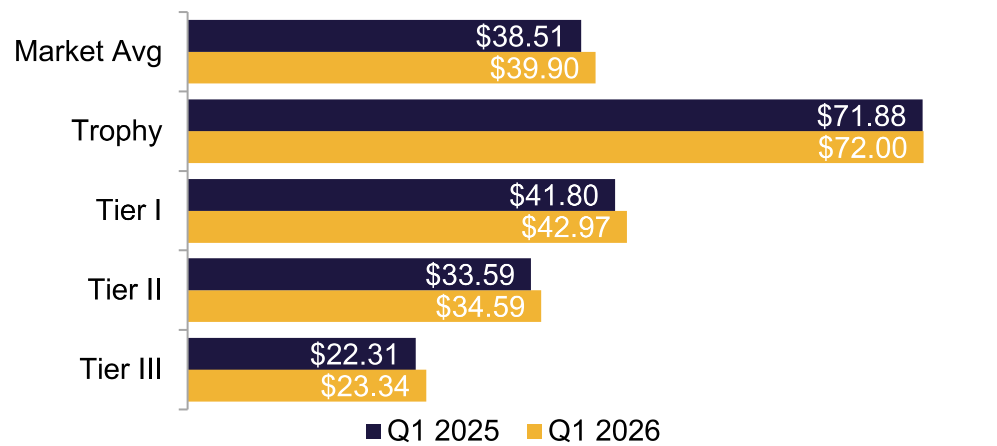
OVERALL VACANCY & ASKING RENT



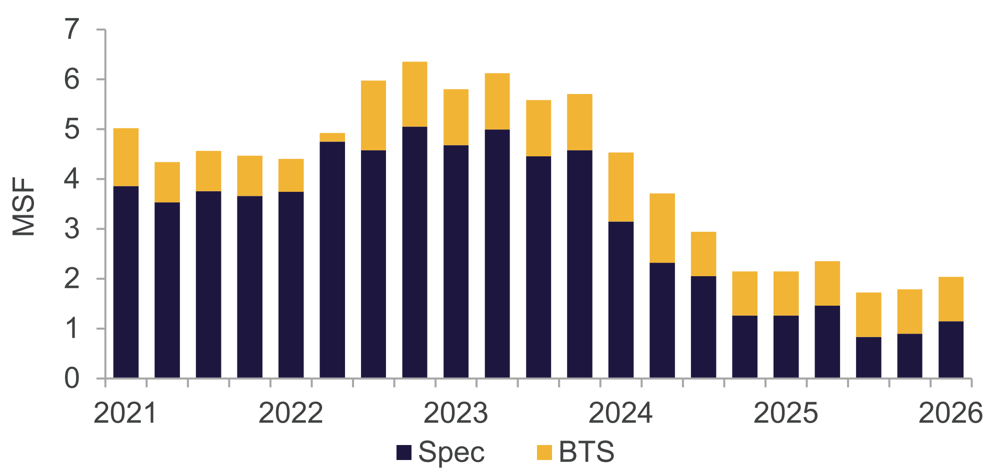
CLASS A - OVERALL VACANCY BY TIER



CLASS A - OVERALL ASKING RENT BY TIER



CONSTRUCTION PIPELINE



SUPPLY

Vacancy decreased for the fourth consecutive quarter, falling 100 basis points (bps) YOY to 24.5%. Vacancy rates improved substantially in the Preston Center (-3.9% YOY), Legacy/Frisco (-3.4% YOY), and Richardson/Plano (-2.9% YOY) submarkets. Class A vacancy fell 170 bps YOY to 26.3%. Top-tier buildings outperformed, with vacancy in Trophy and Tier I buildings falling 350 bps and 190 bps YOY, respectively. Available sublease space was virtually unchanged QOQ at 6.5 msf, remaining near its lowest level since Q2 2020.

Construction activity remained historically low at 2.0 msf. New starts totaled approximately 248,000 sf in the first quarter. Deliveries anticipated in 2026 include The Knox (150,000 sf in Uptown/Turtle Creek), Henderson East (62,628 sf in North Central Expressway), and The Offices at Clearfork (50,086 sf in South Fort Worth)—all mixed-use projects located within established office corridors. New projects expected to start in 2026 included Knox & McKinney (296,786 sf in Uptown/Turtle Creek) and Hall Park C5 (206,350 sf in Legacy/Frisco).

User sale activity, demolitions, and conversions reduced office inventory by 1.5 msf QOQ to 232.0 msf. As of Q1 2026, reductions in inventory since the pandemic have outpaced new deliveries, bringing competitive office inventory to its lowest level since Q1 2020.

PRICING

Overall asking rents reached $34.04 per square foot (psf), increasing 3.8% YOY. Class A increased 3.6% YOY to $39.90 psf, with growth occurring across all competitive tiers. Trophy buildings increased 0.2% YOY to $72.00 psf. Softer growth reflected strong leasing in the most expensive space within Uptown/Turtle Creek, which compressed the weighted market average. The newest trophy buildings continued to set new records for contractual rents.

Concessions, particularly free rent and tenant improvement allowances, favored tenants where landlords have focused on maintaining occupancy. Nevertheless, the emerging shortage of top-tier space began to place upward pressure on rental rates despite favorable concessions. Tenants looking to secure space in Class A buildings should avoid delaying decisions, especially in high-cost submarkets such as Uptown/Turtle Creek, Preston Center, and Legacy/Frisco.

OUTLOOK

- Given the recent pace of demand and small pipeline, DFW office fundamentals—particularly vacancy and rent growth—are on track to continue strengthening throughout 2026.
- The emerging shortage of space in Trophy and Tier I Class A buildings will likely be exacerbated as ‘flight to quality’ continues steering demand to amenitized buildings.
- As vacancy tightens in top-tier Class A buildings, tenants will move down the quality spectrum to occupy the next best choices in Tier II buildings.
- New construction will likely remain limited to established submarkets where trophy and mixed-use projects can attract pre-leasing and achieve above-market rents.
- Disposition of excess office inventory through conversion, user purchase, or redevelopment will continue to reduce competitive inventory and consolidate occupancy into viable buildings.

MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	OVERALL VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	YTD CONSTR COMPLETIONS (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)*	OVERALL AVG ASKING RENT (CLASS A)*
CBD Core	18,181,131	6,723,314	37.0%	-75,808	-75,808	148,267	0	0	$28.85	$30.22
Arts District	6,676,713	1,812,950	27.2%	26,090	26,090	97,811	0	0	$49.40	$50.95
West End	1,347,347	421,451	31.3%	-5,099	-5,099	3,997	0	0	$31.10	$33.88
DALLAS CBD TOTAL	26,205,191	8,957,715	34.2%	-54,817	-54,817	250,075	0	0	$33.28	$35.14
Uptown/Turtle Creek	16,477,260	3,636,655	22.1%	241,694	241,694	384,428	1,524,411	0	$64.75	$70.08
North Central Expressway	14,367,790	4,002,431	27.9%	49,958	49,958	206,258	62,628	0	$37.04	$40.39
Preston Center	3,957,615	256,047	6.5%	15,378	15,378	54,094	0	0	$51.03	$63.51
Deep Ellum/East Dallas	3,584,243	802,402	22.4%	17,129	17,129	49,859	0	0	$37.65	$48.28
West Love Field	7,176,363	2,161,740	30.1%	-155,922	-155,922	141,759	0	0	$23.87	$39.35
LBJ Freeway	10,826,710	2,977,574	27.5%	-22,956	-22,956	109,398	0	0	$19.43	$22.15
Far North Dallas	22,657,108	5,141,020	22.7%	-145,502	-145,502	328,808	0	0	$33.48	$38.52
Legacy/Frisco	28,785,540	7,185,765	25.0%	313,171	313,171	498,748	89,739	0	$42.61	$45.08
Richardson/Plano	22,771,638	4,257,614	18.7%	-53,803	-53,803	340,350	0	0	$26.53	$29.97
Las Colinas	34,405,774	9,675,451	28.1%	19,187	19,187	566,413	0	0	$32.36	$37.67
Southlake/Westlake	4,411,207	965,012	21.9%	25,354	25,354	33,125	0	0	$35.15	$36.54
Lewisville/Carrollton	4,946,972	1,217,629	24.6%	16,730	16,730	72,364	56,012	0	$27.18	$33.56
Southwest Dallas	1,614,060	285,477	17.7%	-1,511	-1,511	4,092	0	0	$24.90	$26.30
Mid Cities	11,355,563	3,097,299	27.3%	-31,490	-31,490	81,718	0	0	$25.90	$30.65
DALLAS NON-CBD TOTAL	187,337,843	45,662,116	24.4%	287,417	287,417	2,871,414	1,732,790	0	$34.56	$41.30
DALLAS TOTAL	**213,543,034**	**54,619,831**	**25.6%**	**232,600**	**232,600**	**3,121,489**	**1,732,790**	**0**	**$34.35**	**$40.07**
Fort Worth CBD	7,436,049	811,999	10.9%	-4,131	-4,131	73,985	0	0	$28.10	$36.17
West Fort Worth	4,144,532	675,872	16.3%	-27,793	-27,793	56,835	253,972	0	$27.94	$33.09
South Fort Worth	2,703,053	208,798	7.7%	31,218	31,218	25,580	50,109	0	$23.91	$30.00
North Fort Worth	1,817,869	318,338	17.5%	-105,468	-105,468	3,655	0	0	$28.68	$29.03
East Fort Worth	2,343,561	314,390	13.4%	-9,556	-9,556	10,206	0	0	$18.80	-
FORT WORTH TOTAL	18,445,064	2,329,397	12.6%	-115,730	-115,730	170,261	304,081	0	$26.22	$32.65
DALLAS/FORT WORTH TOTALS	**231,988,098**	**56,949,228**	**24.5%**	**116,870**	**116,870**	**3,291,750**	**2,036,871**	**0**	**$34.04**	**$39.90**
Class A	147,941,919	38,923,916	26.3%	339,931	339,931	2,262,555	2,036,871	0	$39.90	-
Class B	74,625,281	16,917,257	22.7%	-218,816	-218,816	966,588	0	0	$22.59	-
Class C	9,420,898	1,108,055	11.8%	-4,245	-4,245	62,607	0	0	$18.51	-

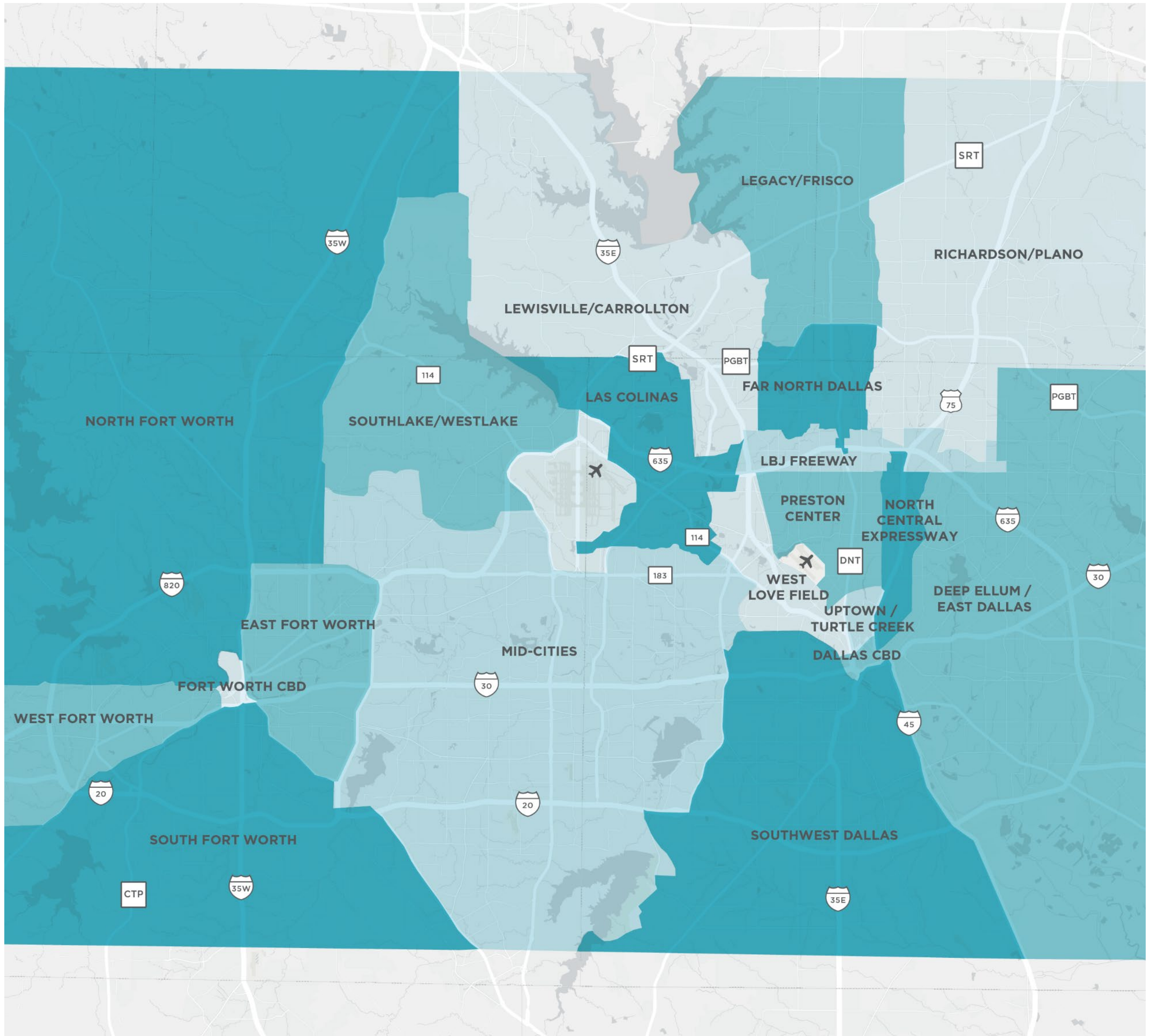
** Rental rates reflect full service asking rate.*

KEY LEASE TRANSACTIONS Q1 2026

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Galatyn Commons D / 1011 Galatyn Pky	Richardson/Plano	GEICO	198,536	Renewal/Expansion
Knox & McKinney / 4544 McKinney Ave	Uptown	Jones Day	76,037	New Lease
1807 Ross Ave	Arts District	Fashion Industry Gallery	75,000	Renewal*
The Crescent / 100-300 Crescent Ct	Uptown	Weil, Gotshal & Manges	65,221	Renewal*

**Renewals excluded from leasing activity.*

OFFICE SUBMARKETS



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